

Real Estate Investments

Indian Tier 2 and 3 Market — Residential

A data-driven analysis of the most promising residential investment opportunities across India's emerging Tier II and Tier III cities — powered by the Residential Investment Index (RII).

What We'll Cover

This report evaluates 13 Tier II and III cities across five key dimensions to identify the strongest residential real estate investment opportunities in India's emerging markets.

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Cities Tier Classification

Understanding India's city tier system and why Tier I markets are oversaturated.

02

Upcoming Potential Markets

The macro drivers making Tier II and III cities the next investment frontier.

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Methodology & Index Composition

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RII Rankings & City Profiles

Final rankings and deep-dive profiles of the top 13 evaluated cities.

Cities Tier Classification

India's city classification system, established under the Seventh Central Pay Commission, determines House Rent Allowance (HRA) for public servants and serves as the standard framework for real estate market segmentation.

Tier I — X Category

HRA: **24%** of basic pay
Mumbai, Delhi NCR, Bengaluru, Chennai, Hyderabad, Kolkata — high-density, saturated markets with premium pricing.

Tier II — Y Category

HRA: **16%** of basic pay
Chandigarh, Indore, Jaipur, Kochi, Lucknow — rapidly growing markets with strong infrastructure and talent pools.

Tier III — Z Category

HRA: **8%** of basic pay
Nashik, Madurai, Bhubaneswar — emerging markets with affordable real estate and untapped growth potential.

The CCA classification was abolished in 2008. Cities were reclassified: A-1 → X; A, B-1, B-2 → Y; C and unclassified → Z.

Why Are Tier I Cities Overcrowded?

India's top metros face mounting pressure from rapid urbanization, surging consumer demand, and pro-business policies that attract corporations and talent. This oversaturation is pushing investors and businesses toward Tier II and III alternatives.



Rapid Urbanization

India's urban population is growing at an unprecedented pace, concentrating demand in a handful of metro cities and driving up real estate costs.



Growing Consumer Demand

Rising incomes and a growing middle class have fueled demand for housing, retail, and services — outpacing supply in Tier I markets.



Pro-Business Environment

Corporate expansion and IT sector growth have created concentrated office demand, pushing up commercial and residential prices in major metros.



Population Growth

Sustained in-migration to Tier I cities has created housing shortages and inflated prices, making affordability a critical challenge.

Upcoming Potential Markets

TIER II & III CITIES

A confluence of structural factors is making Tier II and III cities India's most compelling real estate investment story. Improved connectivity, IT sector expansion, and affordable pricing are attracting both developers and end-users.

Key Growth Drivers

- Rapid urbanization and infrastructure development
- Oversaturation of developed Tier I markets
- Improved road, rail, and digital connectivity
- Large, skilled talent pools at lower costs
- Development of major consumption hubs (malls, retail)
- Affordable real estate with strong upside potential
- IT sector boom driving job creation



Source: Housing.com, The Tier 2 Cities Growth Story — Rising Residential Prices, 2024.

The Next 13 Cities

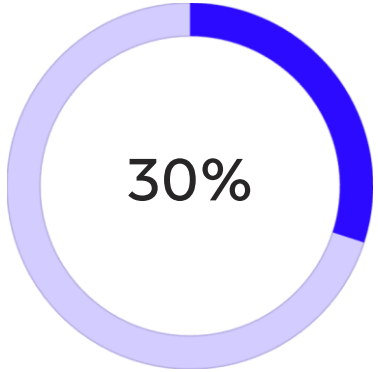
10 cities were shortlisted under Cushman & Wakefield's *India's Next 10 Emerging Markets* study. 3 additional cities were added through secondary research. All 13 were evaluated under the Residential Investment Index (RII).

Nashik	Coimbatore	Nagpur
Surat	Indore	Madurai
Vadodara	Thiruvananthapuram	Visakhapatnam
Lucknow	Jaipur	Kochi
Bhubaneswar		

4 additional cities — Dehradun, Panaji, Noida, and Chandigarh — were added to the study; however, due to data limitations, a complete RII score could not be calculated for these markets.

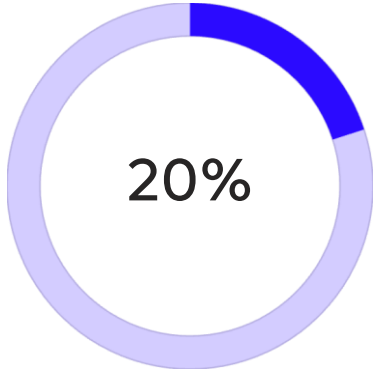
Methodology & Index Composition

The Residential Investment Index (RII) evaluates cities across five weighted dimensions, aggregating 30+ evaluation criteria into a single composite score out of 100. The methodology follows a three-phase process: city shortlisting, data collection and standardization, and final ranking.



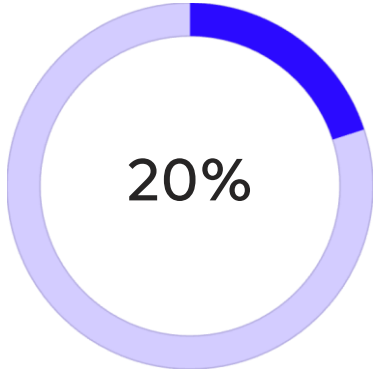
Quality of Living

Ease of Living, Governance, Environment, Planning, Mobility, and Metro Access indices.



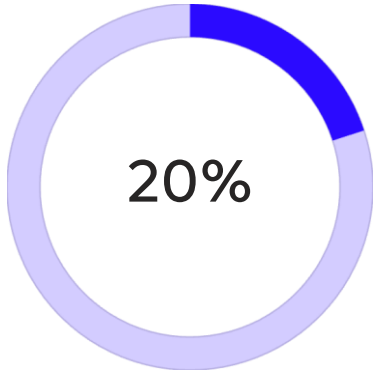
Infrastructure & Services

Road networks, national highways, sewage, healthcare, education, and metro connectivity.



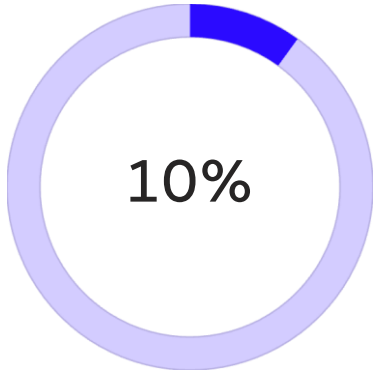
Residential Prices

Buy prices, rental rates, price growth, land prices, and locality-level trends.



Demographics

Population density, CAGR, economy index, employment, and regional inclusivity.



Adoption of Technology

Digital literacy, digital governance, smart city rankings, and technology access.

Residential Investment Index — Final Rankings

The RII scores 13 cities on a scale of 0–100. **Nashik** and **Coimbatore** lead the rankings, separated by just 0.04 points, reflecting their strong performance across quality of living, infrastructure, and residential price metrics.

City	Quality of Living	Prices	Infrastructure	Demographics	Technology	RII Score / Rank
Nashik	14.89	21.45	13.50	6.53	4.07	**60.44 — #1**
Coimbatore	21.45	17.33	8.75	6.46	6.41	**60.40 — #2**
Nagpur	16.06	17.70	17.70	3.14	4.65	**59.26 — #3**
Surat	23.71	16.95	7.75	2.42	5.39	**56.22 — #4**
Indore	17.03	16.44	9.56	5.47	7.00	**55.49 — #5**
Madurai	16.33	17.08	9.15	5.12	4.76	**52.45 — #6**
Vadodara	18.10	17.94	7.42	3.17	3.56	**50.19 — #7**
Thiruvananthapuram	12.21	16.94	5.42	9.44	5.00	**49.02 — #8**
Visakhapatnam	13.25	18.20	7.94	4.66	3.79	**47.85 — #9**
Lucknow	11.86	17.75	8.39	4.91	0.93	**43.84 — #10**
Jaipur	14.70	13.81	9.91	3.41	1.89	**43.72 — #11**
Kochi	8.26	9.05	6.76	8.19	4.27	**36.53 — #12**

Top 5 City Profiles



Nashik — Rank #1 (60.44)

Tier III | Pop: 2.1M | Area: 264 sq km

Leads on residential prices (#1) and infrastructure (#2). Key industries: IT, winery, agriculture, textiles. Strong road connectivity with 494,359 km surfaced roads.



Coimbatore — Rank #2 (60.40)

Tier II | Pop: 2.9M | Area: 4,723 sq km

Top quality of living (#2) and technology adoption (#2). Key industries: IT, automobile, textiles, jewellery. High urbanization at 76%.



Nagpur — Rank #3 (59.26)

Tier II | Pop: 2.9M | Area: 9,892 sq km

Leads infrastructure and services (#1). Central India's logistics hub. Key industries: IT, metals, jute, fruit processing. Highest surfaced road network.



Surat — Rank #4 (56.22)

Tier II | Pop: 7.5M | Area: 7,657 sq km

#1 in quality of living index (61.73) and mobility. Key industries: IT, diamonds, metals, textiles. Municipal Performance Index ranks #2 nationally.



Indore — Rank #5 (55.49)

Tier II | Pop: 3.1M | Area: 3,898 sq km

Leads technology adoption (#1). India's cleanest city with strong governance scores. Key industries: IT, metals, automobiles, textiles.

Key Takeaways & Investment Outlook

India's Tier II and III cities represent a generational real estate investment opportunity. Affordability, infrastructure growth, and digital transformation are converging to create high-upside markets for residential investors.

Nashik & Coimbatore Lead

Both cities scored above 60/100, driven by strong residential price performance and quality of living — making them top-of-mind for near-term investment.

Infrastructure Is the Differentiator

Cities with strong road networks, metro access, and municipal performance indices consistently outperform. Nagpur's #1 infrastructure score underscores this trend.

Tech Adoption Accelerates Value

Indore (#1 in technology) and Coimbatore (#2) demonstrate that digital governance and smart city initiatives are becoming critical value drivers for residential markets.

Affordability Remains the Core Thesis

Tier II/III cities offer significantly lower entry prices compared to Tier I metros, with strong rental growth potential — Panaji recorded 85.58% rent growth, Dehradun 14.40% buy price growth.

Data sources include Cushman & Wakefield (2023), Ministry of Housing & Urban Affairs, Housing.com (2024), World Bank, and Shakti Foundation Smart Cities Index.